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Investor Presentation | Asia Pacific

Kingsoft Cloud Holdings: Transition to AI Cloud Bearing Fruit; MaaS Brings Further Upside

We recently initiated on Kingsoft Cloud at Overweight. We like its early and firm transition from a mid-tier commodity cloud player to AI cloud, with rapidly accelerating AI revenue and improving profitability, anchored by powerful ecosystem support from Xiaomi and Kingsoft Group.

See the [Initiation Report](#) (July 8, 2026)

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GREATER CHINA IT SERVICES AND SOFTWARE	
Asia Pacific	
Industry View	In-Line

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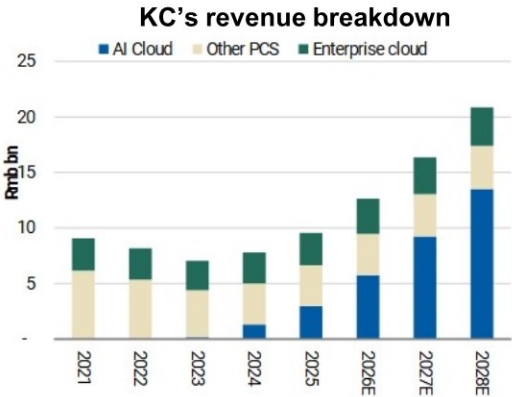
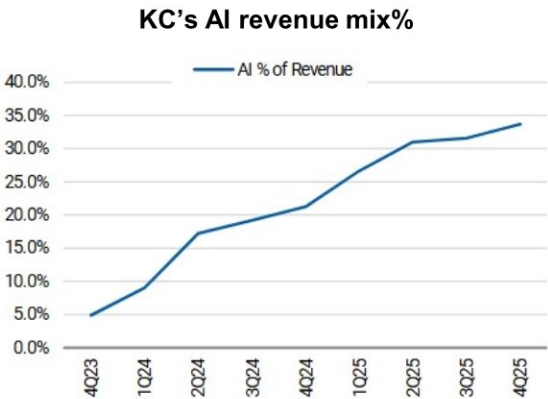
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KC's Transition Into AI Cloud

	Cloud Era	AI Era
Key Products	CDN cloud storage cloud delivery basic compute	StarFlow Platform Galaxy Stack MaaS AI inference clusters
Market Share	~3–4% of China public cloud IaaS/PaaS	~3.8% overall, with rapidly growing AI segment share
Revenue Growth	+10.5% YoY (2023–2024)	AI cloud high double digit growth
Margin	Low GPM	Moderate GPM; long term 15%+
Key Verticals	Gaming Video streaming Internet	AI/LLM Cloud Autonomous driving Robotics
Ecosystem Role	Cloud services provider to Xiaomi/Kingsoft	Training/Inference to ecosystem External LLM customers
Competitive Positioning	Niche player vs. hyperscalers CDN-heavy	Neutral AI cloud platform Bridging the computing shortage

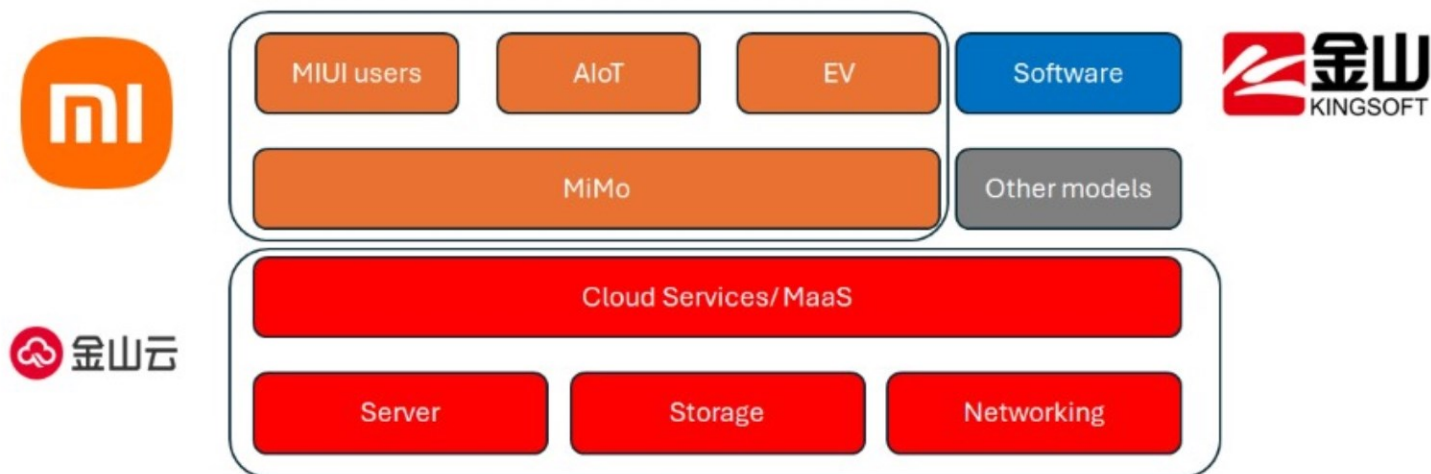
Source: Company data, Morgan Stanley Research estimates.

AI Is The More Significant Revenue Driver



Source: Company data, Morgan Stanley Research estimates.

Xiaomi's Ecosystem



Source: Company data, Morgan Stanley Research estimates.

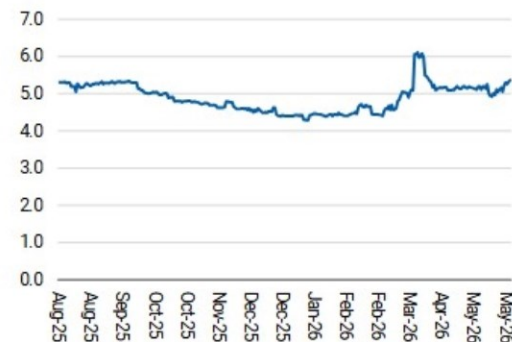
Cloud Price Hike Driven By Computing Demand

Recent Global Price Hike

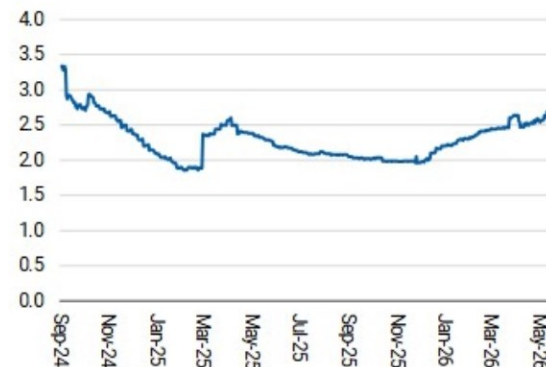
Time	Product /Company	Key events
Jan-26	AWS	AWS raised EC2 Machine Learning Capacity Block prices by ~15%, mainly affecting AI-heavy workloads.
	Google Cloud	Announced higher data transfer prices effective from May 2026.
	Wangsu	Announced price hikes for CDN products by 35-40% effective from February 1, 2026.
Feb-26	Ucloud	Announced price hikes for cloud product line effective from March 1, 2026, for all contract renewals and new signings.
Mar-26	Tencent	Raised token prices for a series of models on its MaaS platform.
	Alicloud	Raised prices for AI-computing-related offerings by 5-34% effective from April 18, 2026.
	Baidu	Raised AI-computing-related offerings by 5-30% effective from April 18, 2026.
Apr-26	Tencent	Raised prices for AI-computing-related products effective from May 9, 2026.
	Alicloud	Raised prices for some server products effective from May 15, 2026.
Jun-26	Kingsoft Cloud	Raised prices for AI-computing-related products by 15-50% and for storage-related products by 30-50% effective from July 12, 2026.

Source: Bloomberg, company data, Morgan Stanley Research estimates.

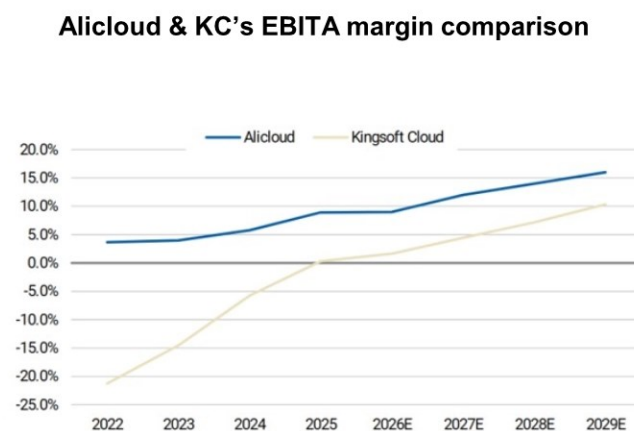
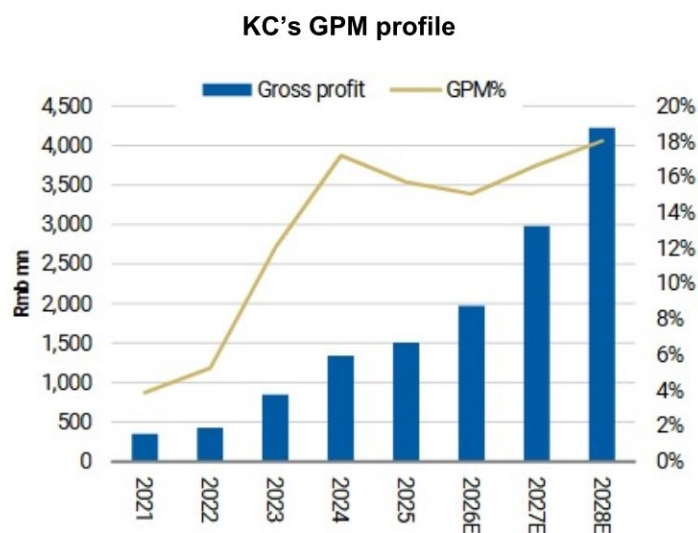
Silicon Data B200 Rental Index



Silicon Data H100 Rental Index



We Expect Margin Expansion Following Alibaba, The Industry Leader



Source: Company data, Morgan Stanley Research estimates.

KC's UE Under The New Business Model

Year	0	1	2	3	4	5	6
Capex	100						
LTC	80%						
Interest rate	3.0%						
Debt	80						
Equity	20						
Tax rate	15.0%						
Revenue	30.0	30.0	30.0	30.0	30.0	30.0	30.0
Opex	4.5	4.5	4.5	4.5	4.5	4.5	4.5
EBITDA	25.5	25.5	25.5	25.5	25.5	25.5	25.5
Margin	85%	85%	85%	85%	85%	85%	85%
Depreciation	20.0	20.0	20.0	20.0	20.0	20.0	-
EBIT	5.5	5.5	5.5	5.5	5.5	5.5	25.5
Margin	18%	18%	18%	18%	18%	18%	85%
Interest expense	2.4	2.4	2.4	2.4	2.4	2.4	2.4
Tax expense	0.83	0.83	0.83	0.83	0.83	0.83	3.83
Net profit	2.28	2.28	2.28	2.28	2.28	2.28	19.28
Margin	8%	8%	8%	8%	8%	8%	64%
Gross asset yield		30%	30%	30%	30%	30%	30%
Payback years	3.92						
If 5 years							
Unleveraged cashflow	(100)	25.5	25.5	25.5	25.5	25.5	
IRR (pre-tax)	9%						
If 6 years							
Unleveraged cashflow	(100)	25.5	25.5	25.5	25.5	25.5	25.5
IRR (pre-tax)	14%						
If prepaid 1 year							
Unleveraged cashflow	(74.5)	25.5	25.5	25.5	25.5		
IRR (pre-tax)	14%						
If 50% leased							
Lease payment	-	(11.2)	(11.2)	(11.2)	(11.2)	(11.2)	
Unleveraged cashflow	(50.0)	14.3	14.3	14.3	14.3	14.3	
IRR (pre-tax)	13%						

Source: Company data, Morgan Stanley Research estimates.

Valuation Methodology and Risks

Kingsoft Cloud Holdings (KC.O)

Base case, derived from 5.5x 2027e EV/EBITDA multiple. This multiple is at a discount to the US neocloud peer average of 13x and median of 10x to reflect lower asset yields and greater uncertainty around supply chain availability. We prefer EBITDA for comparability across companies given differences in depreciation policies and limited EBIT.

Risks to Upside

- Stronger-than-expected AI GPU demand
- Lower-than-expected interest rate driving better return profile
- Better-than-expected Xiaomi's AI model development

Risks to Downside

- Supply-side restrictions leading to procurement shortfall
- Higher-than-expected interest rates leading to higher cost of funding
- Slower-than-expected AI model developments in China

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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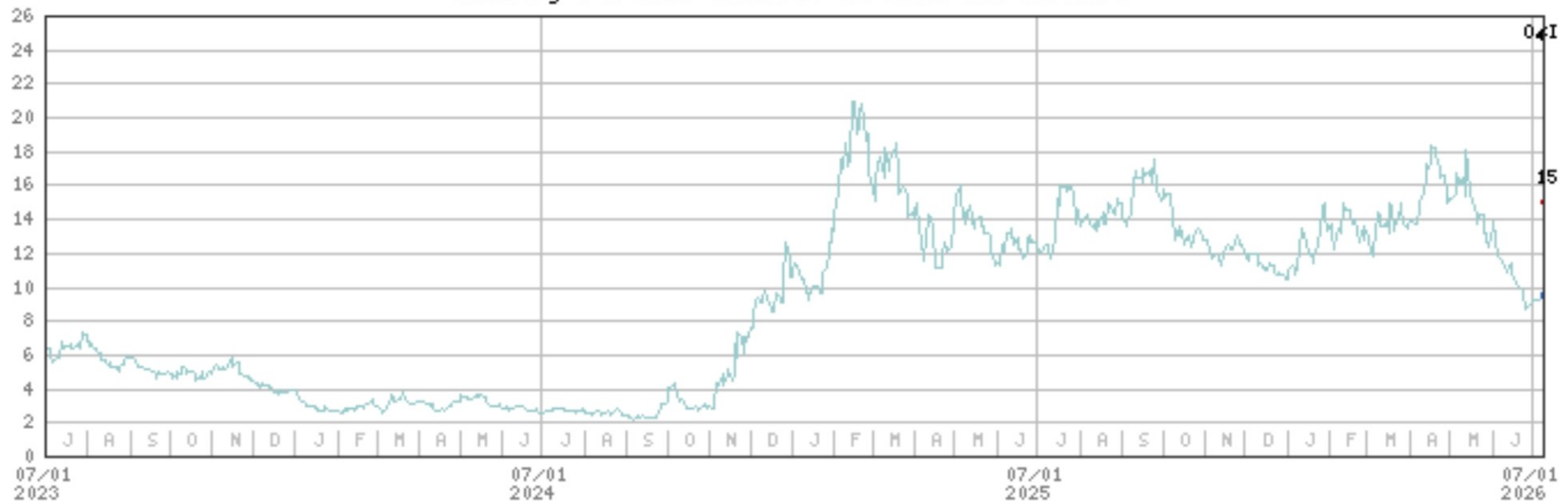
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Stock Price, Price Target and Rating History (See Rating Definitions)

Kingsoft Cloud Holdings (KC.O) - As of 07/08/26 GMT in USD
Industry : Greater China IT Services and Software



Stock Rating History: 7/7/26 : O/I

Price Target History: 7/7/26 : 15

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China IT Services and Software

COMPANY (TICKER)

RATING (AS OF)

PRICE* (07/08/2026)

Gary Yu

Knowledge Atlas Technology JSC Ltd (2513.HK)	O (02/20/2026)	HK\$1,825.00
MiniMax (0100.HK)	O (02/20/2026)	HK\$362.60

Lydia Lin

Beisen Holding Limited (9669.HK)	O (06/23/2025)	HK\$3.53
Chinasoft International Ltd (0354.HK)	U (05/04/2026)	HK\$3.11
Glodon Co. Ltd. (002410.SZ)	E (08/23/2023)	Rmb8.19
Hundsun Technologies Inc. (600570.SS)	U (04/07/2025)	Rmb20.72
Longshine Technology Group Co Ltd (300682.SZ)	U (09/17/2025)	Rmb10.00
Meitu Inc (1357.HK)	O (10/01/2024)	HK\$4.29

Yang Liu

Beijing Kingsoft Office Software Inc (688111.SS)	U (08/26/2024)	Rmb217.88
Kingdee International Software Group (0268.HK)	E (03/19/2025)	HK\$7.29
Kingsoft Cloud Holdings (KC.O)	O (07/07/2026)	US\$9.44
Kingsoft Corp Ltd (3888.HK)	E (07/21/2025)	HK\$24.32
Sangfor Technologies Inc (300454.SZ)	E (07/05/2024)	Rmb106.56
Tuya Inc. (TUYA.N)	O (11/29/2023)	US\$1.96
Wangsu Science & Technology (300017.SZ)	U (11/12/2024)	Rmb14.66
Yonyou Network Technology Co Ltd (600588.SS)	U (11/12/2024)	Rmb9.36

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.